

Undertaking to the
Australian Competition and Consumer
Commission

Given under section 87B by

OneSteel Limited

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PART 1 - BACKGROUND

1. OneSteel and Smorgon each operate as steel manufacturers and distributors in Australia. OneSteel and Smorgon have entered into an agreement to implement a scheme of arrangement under which OneSteel will acquire all of the shares in Smorgon and Smorgon shareholders will receive shares in OneSteel (the **Scheme**). Immediately prior to the implementation of the Scheme, Smorgon's steel and metals distribution business will be purchased by BlueScope.
2. The Commission is concerned that the merger reduces the domestic manufacturers of steel long products in some product categories from two to one. Following market enquiries, the Commission is satisfied that, absent strategic anti-dumping applications, competition in relevant markets will be preserved following the implementation of the Scheme by imports in the relevant product categories. However, the Commission is concerned to ensure that OneSteel does not engage in strategic anti-dumping actions to soften import competition.
3. OneSteel is prepared to offer this undertaking to address the Commission's concern. This undertaking provides substantial financial disincentives for OneSteel making anti-dumping applications which are unsuccessful or poorly targeted. The disincentives take the form of a regime which provides for the re-imbursement of loss and expenses to parties affected by unsuccessful anti-dumping applications.

PART 2 - ANTI-DUMPING APPLICATIONS

4. If:
 - a. OneSteel lodges, or expresses support (as that term is used in section 269TB(6) of the Customs Act) for, an Application which relates to the importation into Australia of any Product,, or a product which satisfies the definition of Like Goods; and
 - b. the Application is wholly or partially unsuccessful,or

- c. OneSteel encourages the Minister to initiate an investigation under section 269TAG of the Customs Act in relation to a Product, or a product which satisfies the definition of Like Goods,

OneSteel undertakes to compensate Eligible Importers for Expenses incurred by the Eligible Importer in relation to the Application or investigation and/or Loss suffered by the Eligible Importer which is caused by the Application or investigation in accordance with the procedures contained in Parts 3 and 4 of this Undertaking,.

- 5. Within five Business Days of the date of:
 - a. an Application made or supported by OneSteel being withdrawn;
 - b. the statutory appeal period expiring in respect of the Final Decision; or
 - c. the Application concluding otherwise than with a Final Decision being made,or
 - d. in the case of an investigation, the Final Result of an investigation being announced;

OneSteel must:

- e. notify the Commission; and
- f. send by registered mail, a written notice to:
 - 1) each Eligible Importer known to OneSteel; and
 - 2) the Australian Steel Association,setting out the basis on which claims can be made and the process for making claims.

- 6. An Application will be wholly or partly unsuccessful for the purposes of clause 4 unless anti-dumping measures are applied in respect of all exporters which are within the scope of the Application and all countries which are the subject of the Application.
- 7. An Application will not be wholly or partly unsuccessful for the purposes of clause 6 until one of the events identified in clause 5 a. b. or c. occurs.

8. For the avoidance of doubt, clauses 5, 6 and 7 do not apply to:
- a. anti-dumping applications lodged prior to 19 December 2006;
 - b. applications seeking a review of anti-dumping measures in relation to anti-dumping measures imposed prior to the commencement of these Undertakings;
 - c. OneSteel's participation in continuation inquiries by Customs in respect of anti-dumping measures imposed prior to the commencement of these Undertakings;
or
 - d. appeals made within the specified statutory time period in relation to anti-dumping applications made prior to the Commencement Date.

PART 3 - CLAIMS FOR COMPENSATION FOR EXPENSES

9. If an Eligible Importer wishes to obtain compensation for Expenses, the Eligible Importer must provide to OneSteel a written claim for compensation for Expenses on or before the Claims Notification Date.
10. OneSteel must pay to each Eligible Importer the Expenses claimed by the Eligible Importer within 30 days of the Claims Notification Date unless OneSteel seeks verification of the Expenses claimed in accordance with clauses 12 and 13.
11. If payment is not made within 30 days of the Claims Notification Date (whether due to a breach of this undertaking or because the matter has been referred for verification), interest will accrue:
- a. from the date on which the Eligible Importer provided OneSteel with a written claim for compensation for Expenses;
 - b. on the amount for which OneSteel is ultimately liable under this Undertaking,
- at the interest rate set under Schedule 5 of the Uniform Civil Procedure Rules (NSW). Interest will become payable on the date that Expenses become payable under this Undertaking.
12. OneSteel may have the Expenses claimed by an Eligible Importer verified by an independent auditor (Independent Auditor).

13. If OneSteel wants to have the Eligible Importer's claim for expenses verified by the Independent Auditor, OneSteel must, within 10 Business Days of being notified of the claim, notify the Eligible Importer that OneSteel requires verification by the Independent Auditor of the Expenses claimed by that Eligible Importer.

Independent Auditor

14. The Independent Auditor must be a person that is independent of OneSteel and has the qualifications and experience necessary to carry out the functions of Independent Auditor.
15. Within 10 Business Days of giving notice to an Eligible Importer that verification is required, OneSteel must notify the Commission of the identity of the proposed Independent Auditor, together with the terms on which the proposed Independent Auditor is proposed to be appointed and such other information as the Commission requires to assess whether the Commission will object to the appointment of the proposed Independent Auditor.
16. If, within 10 Business Days of receipt of the information from OneSteel (or such further period as the Commission and OneSteel may agree):
 - a. the Commission does not object to the proposed Independent Auditor or the terms of appointment, OneSteel will appoint the proposed Independent Auditor on those terms as soon as practicable thereafter and forward to the Commission a copy of the executed terms of appointment of the proposed Independent Auditor; or
 - b. the Commission does object to the proposed Independent Auditor or the terms of appointment, OneSteel must appoint an Independent Auditor as directed by the Commission (including the terms of appointment).
17. OneSteel will indemnify the Independent Auditor against any loss or expense incurred in the course of carrying out his or her functions in accordance with the terms of his or her appointment.
18. OneSteel will ensure that the Independent Auditor promptly reviews and determines whether all or part of the Expenses claimed by the Eligible Importer:

- a. relate to the Application; and
- b. have been incurred by the Eligible Importer,

and that the Independent Auditor will:

- c. certify which expenses claimed comply with sub-clauses (a) and (b) above; and
 - d. provide a copy of any certificate in relation to the Expenses that the independent auditor has certified as relating to the Application to both OneSteel and the relevant Eligible Importer.
19. If a certificate is issued by the Independent Auditor, OneSteel must pay the Expenses which have been certified as complying with clause 18 within ten Business Days of receipt of the certificate.

PART 4 - CLAIMS FOR COMPENSATION FOR LOSS

20. If an Eligible Importer wishes to obtain payment for Loss, the Eligible Importer must provide to OneSteel:
- a. a written claim for compensation for Loss on or before the Claims Notification Date; and
 - b. specific details of the Loss claimed by the Eligible Importer.
21. OneSteel must pay to an Eligible Importer the amount of the Loss claimed by that Eligible Importer within 30 days of the Claims Notification Date, unless OneSteel seeks verification of the Loss claimed by that Eligible Importer in accordance with clauses 23.to 25 below.
22. If payment is not made within 30 days of the Claims Notification Date (whether due to a breach of this undertaking or because the matter has been referred for verification), interest will accrue:
- a. from the date on which the Eligible Importer provided OneSteel with a written claim for compensation for Loss;
 - b. on the amount for which OneSteel is ultimately liable under this Undertaking,

at the interest rate set under Schedule 5 of the Uniform Civil Procedure Rules (NSW). Interest will become payable on the date Loss becomes payable under this Undertaking.

23. OneSteel may have an Eligible Importer's claim for Loss verified by an independent expert (the **Independent Expert**).
24. OneSteel must, within 10 Business Days of OneSteel receiving the claim, notify an Eligible Importer that OneSteel requires verification of the Loss claimed by that Eligible Importer.
25. OneSteel can seek verification from the Independent Expert that:
 - a. the loss claimed was caused by the Application; and/or
 - b. that the amount of the loss suffered was the amount claimed.

Independent Expert

26. Within 10 Business Days of giving notice to an Eligible Importer that verification is required, OneSteel will appoint Wayne Lonergan as the Independent Expert on terms approved by the Commission.
27. If, despite its best endeavours, OneSteel is unable to appoint Wayne Lonergan as the Independent Expert as required by clause 26, OneSteel must, within 15 Business Days of giving notice that verification is required, nominate to the Commission a Proposed Independent Expert and provide to the Commission the terms on which the Independent Expert is proposed to be appointed and such other information as the Commission requires to assess whether the Commission will object to the appointment of the Proposed Independent Expert.
28. The Independent Expert must be a person that is independent of OneSteel and has the qualifications and experience necessary to carry out the functions of Independent Expert.
29. If, within 10 Business Days of receipt of the above information from OneSteel (or such further period as the Commission and OneSteel may agree):

- a. the Commission does not object to the Proposed Independent Expert or the terms of appointment, OneSteel will appoint the Proposed Independent Expert as soon as practicable thereafter and forward to the Commission a copy of the executed terms of appointment of the Independent Expert; or
 - b. the Commission does object to the proposed Independent Expert or the terms of appointment, OneSteel must appoint an Independent Expert as directed by the Commission (including the terms of appointment).
- 30. OneSteel will indemnify the Independent Expert against any loss or expense incurred in the course of carrying out his or her functions in accordance with the terms of his or her appointment.
- 31. If the Independent Expert is required to determine whether the Application caused the Loss claimed, the terms of the Independent Expert's appointment must require them to determine, on the basis of the material supplied by OneSteel and the Eligible Importer, (and such other material obtained by the Independent Expert in his or her absolute discretion) whether:
 - a. on a common sense view of the matter, there is a causal relationship between the making of the Application by OneSteel and the Loss suffered by the Eligible Importer; and
 - b. the Loss suffered by the Eligible Importer was reasonably foreseeable.
- 32. If the Independent Expert is required to determine that the amount of the Loss suffered was the amount of the Loss claimed, the terms of the Independent Expert's appointment must require him or her to determine, on the basis of the material supplied by OneSteel and the Eligible Importer (and such other material obtained by the Independent Expert in his or her absolute discretion), a sum that represents a reasonable assessment of the Loss suffered by the Eligible Importer as a result of the Application.

Provision of information to the Independent Expert

- 33. Without limiting what information may be considered or requested by the Independent Expert and from whom, OneSteel must, within 5 business days of the appointment of the Independent Expert, provide to the Independent Expert all

written material and information relating to each Eligible Importer's claim for Loss which has been provided to OneSteel by those Eligible Importers.

34. The terms of appointment of the Independent Expert must permit the Independent Expert to seek such advice as he or she considers necessary (including from other independent experts).
35. The terms of appointment of the Independent Expert must require the Independent Expert to make a determination in respect of a claim for Loss by an Eligible Importer within 90 days of appointment as an Independent Expert.
36. The terms of appointment of the Independent Expert must require the Independent Expert, upon making a determination, to provide a certificate to both OneSteel and the Eligible Importer setting out the determination and certifying the amount of Loss payable by OneSteel to the Eligible Importer.
37. OneSteel must pay to an Eligible Importer the amount of the Loss which has been certified by the Independent Expert as having been caused by an unsuccessful Application within 30 days of receipt of the certificate.

COMMENCEMENT AND DURATION OF UNDERTAKINGS

38. These Undertakings come into effect on the date that they are accepted by the Commission.
39. Subject to any extension negotiated as provided in clause 41 these Undertakings will operate in respect of any Application which is lodged or supported by OneSteel within 5 years of the Implementation Date.
40. Without derogating from clause 39 and subject to any extension negotiated as provided in clause 41, these Undertakings cease to operate in respect of Applications lodged or supported by OneSteel more than five years after the Implementation Date.
41. Four years and nine months after the Implementation Date, OneSteel and the Commission must review these Undertakings and negotiate in good faith to determine whether an extension of the term of these Undertakings is required,

having regard to the need to maintain competition in the markets in Australia for the products listed in Schedule 1 and the volume and market share of imports of those products in the Australian market. The Commission may call for submissions in relation to the negotiations.

COMPLIANCE WITH THESE UNDERTAKINGS

42. OneSteel acknowledges that these Undertakings are court-enforceable in accordance with section 87B of the Trade Practices Act.
43. Where the performance of an obligation under this Undertaking is imposed on OneSteel, if complete performance of the Undertaking (in order to achieve its objectives as set out in the Background to this Undertaking) requires a related body corporate to take some action or refrain from taking some action, OneSteel will procure that related body corporate to take that action or refrain from taking that action and, if necessary, OneSteel will procure the offering of undertakings in similar terms to this Undertaking by the related body corporate.
44. In performing its obligations under these Undertakings, OneSteel will do everything reasonably within its power to ensure that its performance (and the performance of Related Bodies Corporate) of those obligations is done in a manner which is consistent with promoting the purpose and object of these Undertakings.

Provision of information

45. At the Commission's direction, OneSteel will itself, and will procure that its directors, employees, agents or contractors identified by the Commission:
 - a. furnish information to the Commission;
 - b. produce documents to the Commission within OneSteel's custody, control or power; and/or
 - c. attend the Commission at a time and place appointed by the Commission to answer any questions the Commission (its Commissioner, staff or agents) may have,in relation to OneSteel's compliance with this Undertaking.

46. Information furnished, documents produced or information given in answer to questions may be used by the Commission for any purpose consistent with its statutory functions.
47. Any direction made by the Commission under clause 45 will be notified to the Company Secretary of OneSteel.

ACKNOWLEDGMENTS AND CONFIDENTIALITY

48. These Undertakings do not prevent the Commission from taking enforcement action at any time during or after the duration of these Undertakings in respect of any breach by OneSteel of these Undertakings.
49. OneSteel acknowledges that the Commission will publish the public version of these Undertakings on its Section 87B Undertakings Register and that the Commission may publicly refer to these Undertakings.

COSTS

50. All costs incurred by OneSteel either providing information to the Commission or in responding to Commission enquiries as required by these Undertakings are to be paid by OneSteel.

DEFINITIONS

The following definitions apply:

Application means an anti-dumping application made under Part XVB, Division 2 of the Customs Act;

BlueScope means BlueScope Steel Limited (ABN 16 000 011 058);

Business Day means a day on which trading banks are open for business in Melbourne and Sydney, Australia, but does not include any Saturday, Sunday or public holiday;

Claims Notification Date means the date which is 90 days after the date on which OneSteel gives notice to the Commission, Eligible Importers and the Australian Steel Association in accordance with clause 5 of the Undertakings;

Commission means the Australian Competition and Consumer Commission;

Common Range Merchant Bar means the products listed in Schedule 1 to these Undertakings;

Customs means Australian Customs Service;

Customs Act means the Customs Act 1901 (Cth) and such other Customs legislation relevant to anti-dumping applications;

Economic Loss includes loss of profits from transactions foregone, and consequential losses resulting from delay in discharging contractual obligations and additional expenses reasonably incurred to mitigate the risk of loss of supply or increased cost of supply

Eligible Importer means a person who has, or has attempted to import steel products in a product category which is the subject of an Unsuccessful Application.

Expenses means reasonable external legal and external consultant expenses incurred by an Eligible Importer in respect of an Unsuccessful Application, excluding GST and any success or contingency fees or bonuses payable to the external legal adviser or external consultant.

GST has the meaning given by the GST Law;

Final Decision means the decision which determines the final outcome of the Application

Final Result means the final determination resulting from any investigation initiated by the Minister under section 269TAG of the Customs Act.

GST Law has the meaning given by the A New Tax System (Goods and Services Tax) Act 1999 (Cth)

Implementation Date means the date on which the Scheme is implemented

Like Goods means products that are identical in all respects to a Product or that, although not alike in all respects to a Product, have characteristics closely

resembling a Product. In considering whether products are Like Goods for the purposes of this undertaking, regard should be had to the meaning of that term as defined in section 269T of the Customs Act

Loss means loss or damage (including Economic Loss) caused to an Eligible Importer by an Unsuccessful Application and which could not reasonably have been avoided by the Eligible Importer taking reasonable steps to mitigate the loss

OneSteel means OneSteel Limited (ABN 63 004 410 833), or, where context or proper performance of this undertaking requires, a Related Body Corporate of OneSteel

Product means a product which:

- a. was manufactured by Smorgon at any time in the 12 months prior to the Commencement of this Undertaking; and
- b. is within the categories of products listed in Schedule 1.

Scheme means the Smorgon scheme of arrangement described in clause 1

Related Bodies Corporate has the meaning given to that term by section 50 of the Corporations Act 2001 (Cth)

Smorgon means Smorgon Steel Group Limited (ABN 38 082 181 726)

Unsuccessful Application means an Application which is unsuccessful, as defined by clause 6.

INTERPRETATION

51. In the interpretation of a clause of these Undertakings, a construction that would promote the purpose or object underlying these Undertakings (whether that purpose or object is expressly stated in the Undertakings or not) shall be preferred to a construction that would not promote the purpose or object.
52. In the interpretation of these Undertakings, material not forming part of these Undertakings may be considered if that material is capable of assisting in the

ascertainment of the meaning or context of a clause of these Undertakings in order to:

- a. confirm the meaning of a clause is the ordinary meaning conveyed by the text of the clause taking into account its context in the Undertakings and the competition concerns intended to be addressed by the Undertakings and the clause in question; or
- b. determine the meaning of a clause when the ordinary meaning conveyed by the text of the clause taking into account its context in the Undertakings and the purpose or object underlying the Undertakings leads to a result that does not promote the purpose or object underlying the Undertakings.

53. In determining whether consideration should be given to any material in accordance with clause 52, or in considering any weight to be given to any such material, regard shall be had, in addition, to any other relevant matters, to :

- a. the effect that reliance on the ordinary meaning conveyed by the text of the clause would have (taking into account its context in the Undertakings and whether that meaning promotes the purpose or object of the Undertakings).; and
- b. the need to ensure that the result of the Undertakings is to address the Commission's competition concerns.

54. Headings are for convenience only and do not affect interpretation. The following rules apply to the interpretation of these Undertakings to these Undertakings unless the context requires otherwise:

- a. the singular includes the plural, and the converse also applies;
- b. a gender includes all genders;
- c. if a word or phrase is defined, its other grammatical forms have a corresponding meaning;
- d. a reference to a person includes a corporation, trust, partnership, unincorporated body or other entity, whether or not it comprises a separate legal entity;

- e. a reference to a clause is a reference to a clause of this Schedule, unless otherwise indicated;
- f. a reference to an agreement or document (including a reference to this Deed is to the agreement or document as amended, supplemented, novated or replaced, except to the extent prohibited by this Deed or that other agreement or document, and includes the recitals, schedules and annexures to that agreement or document;
- g. a reference to writing includes any method of representing or reproducing words, figures, drawings or symbols in a visible and tangible form and includes a communication by electronic mail;
- h. a reference to legislation or to a provision of legislation includes a modification or re-enactment of it, a legislative provision substituted for it and a regulation or statutory instrument issued under it;
- i. a reference to conduct includes an omission, statement or undertaking, whether or not in writing;
- j. a reference to dollars and \$ is to Australian currency; and
- k. all references to time are to the time in Sydney, Australia.

NOTICES

55. Any notice or other communication to the Commission pursuant to these Undertakings must be sent to:

General Manager – Mergers and Assets Sales Branch
Australian Competition and Consumer Commission
470 Northbourne Avenue
DICKSON ACT 2602
Facsimile (02) 6243 1199

or to any other address which the Commission subsequently notifies to OneSteel.

56. Any notice or other communication to OneSteel pursuant to these Undertakings must be sent to:

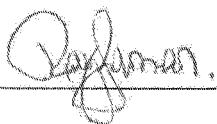
General Counsel
OneSteel Limited
Level 40, 259 George Street
SYDNEY NSW 2000
Facsimile: (02) 9239 6608

or to any other address which OneSteel subsequently notifies to the Commission.

57. Any notice or other communication to the Australian Steel Association pursuant to these Undertakings must be sent to:

or to any other address which the Australian Steel Association subsequently notifies to the Commission.

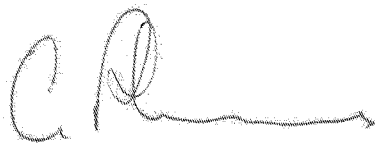
Executed by OneSteel Limited ABN 63 004 410 833 in accordance with section 127 of the Corporations Act by or in the presence of:



Signature of Secretary/Director

RAY PHILLIP JARMAN

Name of Secretary/Director in full



Signature of Director

Geoff Plummer

Name of Director in full

Accepted by the **Australian Competition and Consumer Commission** pursuant to Section 87B of the *Trade Practices Act 1974*.

Graeme Julian Samuel
Chairman



Date 7 June 2007



Schedule 1:

i) Merchant Bar

Including flats, angles, channels and rounds

ii) Manufacturing Rod & Bar

Including, but not limited to deformed round bar used in the manufacture of solid roof bolts

iii) Bar for Grinding Media

Description: Round bar from 25mm to 100mm OD in grades X2k5091, X3k5140, X4k5140, Xk5159, Xk5062, Xk5079H, Xk5080H & Xk5095H used to manufacture grinding media.

iv) Reinforcing Rod & Bar

Including round deformed bar and rod used in the manufacture of reinforcing mesh.

v) Low Carbon Wire